

MeritQuant — Autonomous Trade Report

OPEN · 9:35 AM ET · 29 Jun 2026 · 14:59 UTC

Market Assessment

VIX at 18.37 sits in the neutral 15-20 band, the 10Y-2Y curve is positive at +31bps, and HY spreads are extraordinarily tight at 2.83bps signalling no credit stress. Fed Funds at 3.63% against 10Y at 4.40% confirms a normalized term structure; SPY at \$737.40 reflects RISK-ON conditions supporting selective long equity adds.

REGIME: RISK-ON

Macro Snapshot

Indicator	Value	Indicator	Value
VIX	18.37	US Dollar (DXY)	101.21
Yield Curve 10Y-2Y	0.31	HY Credit (bps)	2.83
10Y Treasury (%)	4.40	Fed Funds Rate (%)	3.63

Trade Decisions

ENTER — MSFT

\$18,000 | Conviction 7/10 | Tier 1

Thesis: (1) HY spreads at 2.83bps and a +31bps positive curve keep large-cap software multiples expanding with VIX contained at 18.37. (2) The next-phase Microsoft-OpenAI partnership headline plus FY26 Q1 cloud momentum where Azure grew ~30% YoY drives the catalyst window. (3) RSI at 40.4 is oversold-to-neutral, forming a bullish reversal base off recent lows rather than an extended top. (4) Entry \$478.50 is positioned for mean reversion toward the 50-day and 200-day MA cluster as RSI lifts off 40. (5) Cash \$30.2B against modest leverage with D/E of just 0.13 gives the lowest balance-sheet risk in the scanner. (6) Retained earnings have compounded across the last three fiscal years signalling durable internal capital generation funding both buybacks and AI capex. (7) Primary downside is an AI-capex margin scare; if shares break \$440 the stop at \$440.22 caps loss at 8% (~\$1,440 on this position).

Catalyst: Microsoft-OpenAI next-phase partnership announcement plus FY26 Q1 Azure growth ~30% YoY — near-term re-rating driver as enterprise AI bookings convert to revenue.

Technical Setup: RSI 40.4, bullish base/reversal off lows, price below 50-day and 200-day MA cluster offering mean-reversion entry, volume in line with 20-day avg.

Risk Factors: AI capex overspend compressing FCF could trigger 10-15% drawdown; stop at \$440.22 limits loss to ~8% (~\$1,440).

Portfolio Snapshot

Total: **\$171,704** | Cash: **\$61,602** | Positions: **6/6**

Ticker	Shares	Entry	Current	Value	P&L \$	P&L %
CLOU	839.0	\$21.45	\$22.69	\$19,036	\$+1,036	+5.8%

TSM	40.1	\$449.32	\$442.71	\$17,735	\$-265	-1.5%
KLAC	72.2	\$235.45	\$267.02	\$19,279	\$+2,279	+13.4%
AMD	34.7	\$518.84	\$513.87	\$17,828	\$-172	-1.0%
NVDA	93.5	\$192.53	\$194.91	\$18,223	\$+223	+1.2%
MSFT	48.4	\$372.17	\$372.17	\$18,000	\$+0	+0.0%

Notes: Cash \$79,602 (46.4% of \$171,704 total) pre-trade; deploying \$18,000 into MSFT leaves ~36% cash reserve and fills slot 6/6. Sector exposure is heavily semiconductor (TSM, KLAC, AMD, NVDA + CLOU cloud), so MSFT adds software diversification rather than duplicating semis. Risk posture: RISK-ON but disciplined — declined AVGO despite 9.0 scan due to prior -9.9% stop loss, and avoided adding a 6th semi name to limit concentration.

Memory applied: AVGO (2026-06-26) -9.9% stop loss lesson applied: rejected AVGO re-entry despite STRONG BUY 9.0 scan, choosing MSFT (BS 9/10, D/E 0.13, software diversification) over another high-beta semiconductor to avoid repeating the unverified-thesis full-sizing mistake.